DISABILITY INSURANCE PLAN BOARD OF MANAGEMENT

ANNUAL REPORT

January 1 to December 31, 2008

NATIONAL JOINT COUNCIL

DISABILITY INSURANCE PLAN BOARD OF MANAGEMENT

In accordance with the NJC By-Laws, the undersigned submit this annual report regarding the performance and the administration of the Disability Insurance Plan during the period of January 1 to December 31, 2008.

CONSEIL NATIONAL MIXTE

CONSEIL DE GESTION DU RÉGIME D'ASSURANCE INVALIDITE

En vertu du Règlement du CNM, les soussignés présentent ce rapport annuel sur le rendement et l'administration du Régime d'assurance invalidité pour la période allant du 1er janvier au 31 décembre 2008.

CHAIRPERSON/PRÉSIDENT

____
Ron Kaden

EMPLOYER SIDE MEMBERS/ MEMBRES DE LA PARTIE PATRONALE

Secrétariat du Conseil du Trésor

____
Ginette Baker
Treasury Board Secretariat

Travaux publics et Services gouvernementaux Canada

____
Brigitte Fortin
Public Works and Government Services Canada

BARGAINING AGENT SIDE MEMBERS/ MEMBRES DE LA PARTIE SYNDICALE

Alliance de la Fonction publique du Canada

____
James Infantino
Public Service Alliance of Canada

Association canadienne des agents financiers

____
Debbie Cooper
Association of Canadian Financial Officers

Ressources naturelles Canada

Institut professionnel de la fonction publique du Canada

Joanne O'Byrne
Natural Resources Canada

Bill Mathison
Professional Institute of the Public Service of Canada

Affaires étrangères et Commerce international Canada

Alliance de la Fonction publique du Canada

Roch Huppé
Foreign Affairs and International Trade Canada

Tony Tilley
Public Service Alliance of Canada

The Disability Insurance Plan Board of Management (the “Board”) is pleased to provide this report on the administration of the Public Service Disability Insurance Plan (the “DI Plan”), its financial performance and the activities of the Board for the period of January 1 to December 31, 2008.

OVERVIEW

The DI Plan provides income replacement for plan members during periods of long-term disability for up to 70% of insured earnings. Employees who meet the criteria of total disability to perform the duties of their current job become eligible for long-term DI benefits at the expiration of the longer of their short term disability plan benefits (accumulated sick leave) or the 13 week elimination period for the DI Plan. Employees receive income replacement payments as well as disability case management and rehabilitation services from the plan insurer, Sun Life Financial. These payments are offset by payments that employees may be eligible for from other disability benefit programs including, Canada Pension Plan Disability Benefits and/or Public Service Superannuation Disability Benefits.

The DI Plan is a group insurance policy underwritten and administered by Sun Life Assurance Company since the plan’s inception in November 1970. The current version of the plan came into effect April 30, 1997.

The Board of Management is of the view that a comprehensive review of the Plan Design and the Insurance Contract is now warranted.

The current terms of reference for the Board are those recommended to the National Joint Council (NJC) by the Health Insurance Programs Committee in 1995. At the time, it was unclear whether or not the Plan would remain an insured plan or join the health and dental plans as an Administrative Services Only (ASO) plan.

The Board of Management is of the view that the current terms of reference for the Board of Management should be reviewed and revised.

Previous attempts to review and revise the terms of reference were inconclusive.

The Board functions well as a group to resolve Plan members’ appeals against Sun Life claims adjudication decisions. While the Board carries out an overview of activities over the Plan’s financial results and the administrative operations of the Plan insurer, these are not currently at the level of oversight that is required for an employee benefit plan of this size. The Board does not have access to either the staff or independent advisors needed to provide sufficient oversight as suggested in the current terms of reference. The Board relies on information it receives from Treasury Board Secretariat (TBS) staff and the Office of the Superintendent of Financial Institutions (OSFI) in regards to financial issues and as such is placed in the position of providing reactive advice and not proactive oversight.

In 2008 the DI Plan delivered $229 million in benefits payments to affected employees.

Effective January 1, 2003, the premium rate increased by 49% from $1.08 to $1.61 per $1,000 of annual insurable earnings and remains the same, at $1.61, for this reporting year. According to the cost-sharing arrangement, employees pay 15% of that amount and the employer contributes 85%.

Since the last premium increase, plan surpluses have continued to increase. The surplus account for 2008 was $202.90M including the $66.30M Claims Fluctuation Reserve (CFR). The in year surplus was $28.04M and was sufficient to fund the increased reserve basis charge of $24.27M and to increase the surplus account by $3.77M from $199.13 to $202.90.

The Board observes that while there are a number of potential issues affecting the Plan's financial results into the future including modestly increasing disability incident rates and declining credited interest rates, overall the Plan is on a solid financial base.

Plan results are such that in consultation with Sun Life and OSFI it would be appropriate to review options for the surplus account.

MEMBERSHIP

The Board met six (6) times during the period covered by this report, devoting much of its time to hearing appeal cases and overseeing the administration and financial experience of the DI Plan.

Ron Kaden completed his second year as Chairperson of the Board.

The members of the Board at the end of the 2008 reporting period were:

- Ginette Baker, Treasury Board Secretariat;
- Debbie Cooper, Association of Canadian Financial Officers;
- Brigitte Fortin, Public Works and Government Services Canada;
- Roch Huppé, Department of Foreign Affairs and International Trade;
- James Infantino, Public Service Alliance of Canada;
- Bill Mathison, Professional Institute of the Public Service of Canada;
- Joanne O'Byrne, Natural Resources Canada; and
- Tony Tilley, Public Service Alliance of Canada.

Rudy Loiselle retired from the Professional Institute of the Public Service of Canada and stood down from the Board in the early part of the year.

Edith Dubois' (Public Works and Government Services Canada) term ended in the latter part of the year. She was replaced by Roch Huppé from Department of Foreign Affairs and International Trade.

Valerie Claude of the NJC Secretariat served as Secretary and Appeals Coordinator to the Board during the reporting period.

FINANCIAL AND ADMINISTRATIVE OVERSIGHT

The Board met with the Plan insurer on two (2) separate occasions to review financial information and to receive updates on the status of the Plan.

Historical Summary of Financial Results

Year	Number of Claims Notified	Premium ($ Million)	Interest ($ Million)	Paid Claims ($ Million)	Incurred Claims ($ Million)	Expense ($ Million)
2000	2,094	103.60	76.79	126.58	187.64	11.33
2001	2,466	114.38	75.44	152.05	233.88	14.51
2002	2,256	128.65	75.30	171.83	236.54	14.08
2003	2,737	204.07	74.68	164.25	253.18	16.09
2004	2,831	211.19	78.60	176.67	223.28	15.09
2005	2,795	224.57	81.27	187.00	213.02	14.60
2006	2,908	238.52	86.31	206.63	323.32	20.24
2007	2,771	253.46	86.35	215.86	272.80	17.69
2008	3,234	265.19	92.55	229.43	331.97	21.98

Reserves and Surplus

Year	Claims Fluctuation Reserve (CFR) ($ Million)	Surplus Account at Dec 31st ($ Million)	Disabled Life Reserves at Dec 31st (DLR) ($ Million)	Incurred but not Reported Reserve at Dec 31st (IBNR) ($ Million)
2000	25.90	111.31	839.70	54.99
2001	28.59	50.05	910.59	67.97
2002	31.97	0.00	968.09	76.80
2003	41.45	0.00	1,054.83	81.22
2004	52.80	40.07	1,103.05	80.77
2005	56.14	114.95	1,113.48	95.99
2006	59.63	90.18	1,224.24	104.83
2007	63.37	135.77	1,274.85	112.59
2008	66.30	136.6	1,374.71	117.83

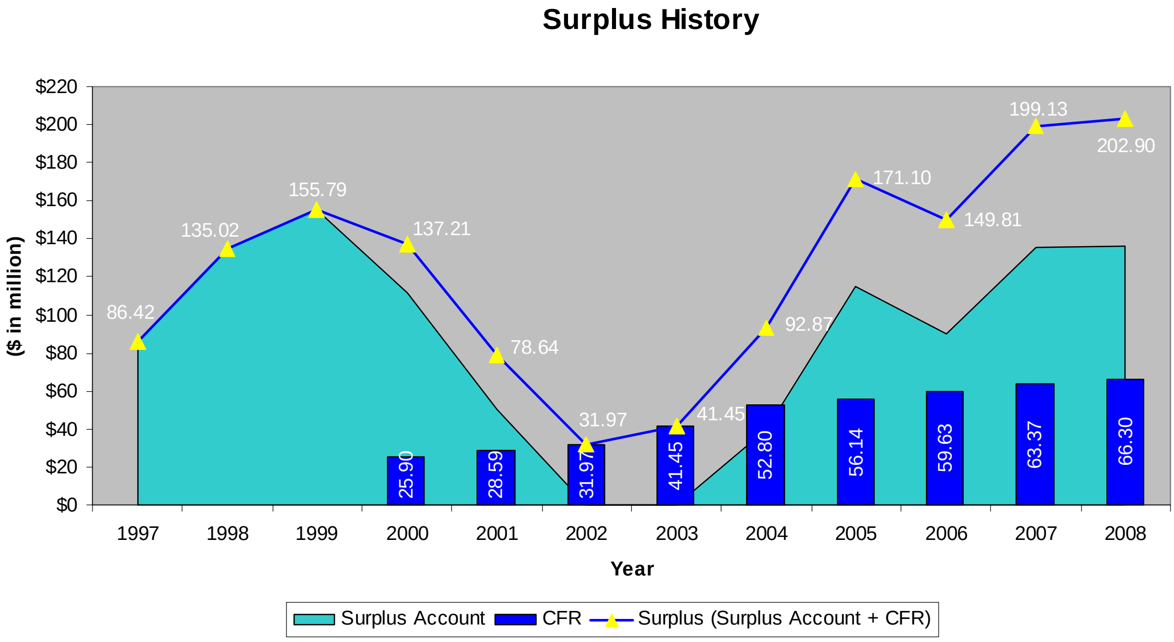
CLAIMS EXPERIENCE AND SURPLUS ISSUES

The DI Plan ended the year with a total surplus of $202.9 million.

There was an in year surplus of $28.04M from which $2.9M was transferred to the Claims fluctuation reserve and $24.27M to the claims reserve as a result of the annual claims basis adjustment.

Last year, the Board reviewed the changes made by TBS and OSFI to the interest crediting formula and took note of the recommended surplus levels the officials from TBS and OSFI suggested. They recommended that the surplus be maintained at 75-115% of annual premium. The 2008 annual premium was $265.19M resulting in the 2008 surplus being 77% of the annual premium.

It is significant to note that in 2009, TBS will be conducting the first independent Financial and Operational Audit of the DI Plan since its inception. The national accounting firm, KPMG has been retained to conduct the audit. The Board has met with representatives of the KPMG audit firm and has provided input into the audit plan.



CLAIMS EXPERIENCE

The annual report prepared by the Plan insurer includes a broad overview of Plan data, which was also reviewed by the Board. As of year-end 2008, there were 3,234 notified claims with a year of disability of 2008, and 2,718 claims were approved in 2008.

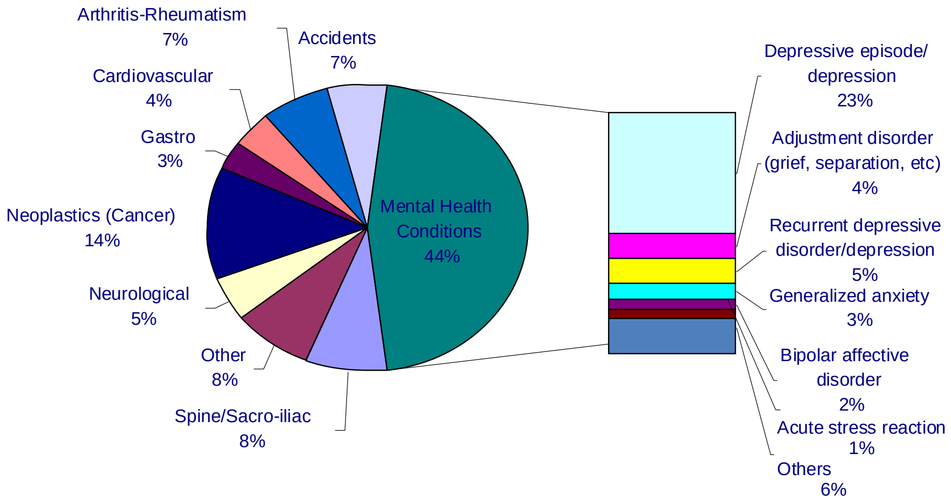
Number of Notified Claims

	YEAR OF DISABILITY		
	2006	**2007**	**2008**
Number of **declined** claims	246	232	299
Number of **terminated** claims	306	303	318
Number of claims **notified** during the year	2908	2771	3234
Number of claims **approved** during the year	2547	2422	2718
Total number of **approved** claims at year-end	9612	9877	10210
Total number of **pending** claims at year-end	213	192	205

Mental illnesses – primarily depression and anxiety – remained the most frequent causes of new disability claims in 2008. This is also the experience across other Canadian disability plans. The Board's recent experience has been that fewer cases presented in appeals can be adjudicated simply on objective and measurable medical data, obtained through diagnostic testing. The Board has increasingly been challenged by the increasing proportion of cases with mental disorders, unexplained medical disorders, and problems related to alcohol and substance abuse.

The distribution of the other causes of disability related to those caused by mental illness in 2008 is illustrated in the chart below. The percentage of mental illness compared to other causes, declined slightly from 46% to 44% primarily as a result of slightly increasing amounts of cancer and accidents.

Distribution of Causes of Disability for Approval Year 2008



APPEAL CASES

The Board's terms of reference include the duty to examine appeals against membership and claims decisions by the Plan insurer, making recommendations to the Plan insurer and in certain circumstances, providing advice to the employer on practices related to DI management in departments and agencies.

The Board reviewed a total of 14 appeal cases in 2008. The Board disagreed with Sun Life's decision to deny benefits in three (3) of those cases and found no reason to disagree with Sun Life in eleven (11) cases. In the latter part of 2008, the Board noticed an increase in the number of appeals received. To help address any backlog issue, the Board increased the frequency of its meetings. The Board is concerned about the delay in processing appeals to final decision that has become evident and is working closely with Sun Life to reduce the waiting period. The Board will continue to investigate ways to minimize the wait time for appeals next year.

The Board notes that in 2008, 15.2% of claimants were declined by Sun Life and in 1998 the decline rate was 21.7%. Over the past 5 years, the decline rate is about 15% or about 350 plan members of which about 15 or about 4% appeal to the Board. This indicates that the efforts of Sun Life, the respective Bargaining Agent staff and the employer's staff working on disability management are very effective in administering the Plan and in supporting Plan members through the DI Plan claims process.

Notwithstanding this, the Board has noted that in the more difficult cases, involving issues such as Chronic Fatigue Syndrome and Alcoholism that the Plan could be more supportive to its members in terms of their return to health and eventually to productive work.

FINANCIAL REPORTING

The Board received updated Financial Reports for the 2006 and 2007 years as a result of reporting errors discovered in 2007.

The Board noted that following its recommendation in 2007 the national accounting firm KPMG was retained to conduct an audit of the financial reports from Sun Life for the year ended December 31, 2007.

The Board has reviewed the monthly and annual reports received from Sun Life and have revised the reporting format to better serve its needs and purposes.

PLAN GOVERNANCE

The Board is proposing to have the NJC review and update its terms of reference which date back to 1995. These terms of reference place a duty on the Board regarding the overall administrative and financial management of the plan. They are also predicated on the establishment of an ASO plan and provide numerous powers to the Board in administering and overseeing such a plan. The DI Plan, however, is an insured plan, operated by the Plan insurer and the Plan sponsor (TBS).

The Board continues to encourage the DI Plan's stakeholders to address the need for revised terms of reference and to determine what role it would like the Board to play in the future within the context of a need to provide for both strong plan oversight and plan renewal.

TRAINING

The Board of Management regularly participates in conferences and learning sessions held by the International Foundation of Employee Benefit Plans.

The NJC Executive Committee, on behalf of TBS's Assistant Secretary's office, gave its approval for travel costs to be covered under the Plan for two members (one from each side) and the Chair. Registration only continues to be provided for two additional members (one from each side).

PROGRESS REPORT ON PRIORITIES

Disability Management Project

TBS sponsored an initiative in 2008 geared at building awareness around disability management in the Public Service. Specifically, TBS produced a Workplace Disability Support Guide for employees, to assist them in understanding processes and benefits. The Board encouraged consultation with bargaining agents and provided support to the initiative in participating in the 2 day conference held in November. The event marked the beginning of a long overdue discussion on workplace health and disability management.

Financial and Operational Audit of the Plan

TBS embarked on the process of securing a contract with a national audit firm for the audit of the DI Plan. The Board members had opportunities to provide input into the Statement of Work for the contract, and ensured that aspects of interest to the Plan members were included. The contract was awarded to KPMG and the audit work will be conducted in early 2009.

Appeals Subcommittee

The new appeals subcommittee was struck in the fall of 2008 to address several issues related to the delay in appeals, and the communication of steps involved. The subcommittee will continue its work in the following year and will continue to monitor trends.

Policy Subcommittee

The Board has reviewed the Plan Document with the objective of highlighting issues and offering suggested changes. This review focused on issues identified during the Board's ongoing review of Plan member appeals submitted to the Board for resolution.

The items identified, highlight the need to formally review and revise the Plan design document.

The Board raised and will be addressing concerns related to wording and interpretation issues in the Plan document. The Board also notes that further discussion is required on the broader concerns of mental illness and coverage of part time and seasonal employees.

WORKPLAN 2009-2010

In the coming year, the Board plans to address the following 6 key areas through a variety of activities:

1. Monitor and advise TBS on DI Plan finances, operational issues and audit issues including service standards;

2. Monitor disability management and insurance benefits issues in the public service to advise TBS and other stakeholders;

3. Study and consult as requested on DI Plan governance and new terms of reference for the Board;

4. Consult on TBS Disability Management Initiative;

5. Review the rehabilitation section of the Plan in view of expanding the opportunities available to employees in rehabilitation programs;

6. Develop guidelines pertaining to the use of Independent Medical Examiners (IMEs); and

7. Work through the backlog of appeals.

CONCLUSION

The Board extends its thanks to Edith Dubois for her participation as a Board member over the years.

The Board also wishes to express its gratitude to Rudy Loiselle for his contribution over 10 years as a Board member.

The Board would also like to thank Dr. Raymond Aubin for providing expert medical advice during appeal reviews at the Board.

Finally, the Board would also like to take this opportunity to thank Sun Life for its dedication and flexibility in working with the Board. The Board has welcomed the opportunities to work closely with Sun Life in gaining a better understanding of the financial status of the Plan.